

Extra exercises of Lecture 7

EX 1

In centralized exchanges like the NYSE, the primary function of specialists is:

- a) to act as investment advisors for retail investors, not for institutional investors
- b) to act as brokers and execute buy and sell orders on behalf of their customers
- c) to interrupt trading activity if large value fluctuations take place
- d) to act as market makers who set prices and balance demand and supply

EX 2

Which of the following is true about stocks and bonds?

- I. dividends in preferred stocks are fixed, while they are discretionary in common stocks
 - II. both types of stocks have voting rights
 - III. both types of stocks have lower seniority to bonds
 - IV. only preferred stocks have higher seniority than subordinated bond holders
- a) I and III
 - b) II and III
 - c) I, and IV
 - d) only IV

EX 3

Company East Inc. has a gross income of \$200 M and company West Inc. of \$210 M. Company East funded itself through debt, paying interest of \$40 M, while company West got funding from preferred stocks, paying dividends of \$40 M. If the tax rate is 25%, which company achieved the highest income net of taxes and dividends?

- a) Company West
- b) Company East
- c) They achieved the same income net of taxes and dividends
- d) More information is needed to answer the question

EX 4

Which of the following are true about stock markets?

- I. in seasoned offering a company already has stocks trading in secondary market and may issue new stock for trade
 - II. IPOs refer to new issues of stocks, regardless of whether the company is already listed with floating stocks in that market
 - III. the investment bank acting as an underwriter at best effort commits to buy full issue, but does not guarantee the price
 - IV. in commitment underwriting the price is guaranteed and full issue of corporate issuer is sold
- a) II and III
 - b) I and III
 - c) I and IV
 - d) none of the others above